

Surya Rao Rayarao

From: Kaysen, Scott A
Sent: Friday, January 2, 2015 10:18 AM
To: Wilde, Stefani K; Carmichael, Tara L; Rayarao, Surya Rao
Subject: FW: 2014 Year in Review

How cool is that. Congratulations.

- The Retirement Solutions group continued to win new business and completed several conversions of new clients. In addition, the Retirement Income Calculator (RICC) product has become an industry standard and is now used by many industry leading companies.

From: Administration, Domino **On Behalf Of** Steve_Hooley%DST@dstsistemas.com
Sent: Tuesday, December 23, 2014 3:50 PM
To: Kaysen, Scott A
Subject: 2014 Year in Review



I wanted to take this opportunity to wish all of you the happiest of holidays and provide you with my thoughts on the year that has passed. Man, what a ride 2014 has been!

I break down my 2014 thoughts into three broad buckets: 1.) What we did with our clients 2.) Our progress on building a high performance culture and making DST a place where great leadership is at the core of everything we do and 3.) Our positioning of the company for future success.

Every group in the DST enterprise contributed to the success of our company in 2014. I wanted to highlight a few activities so you could see just how much we accomplished together, and with our clients, during the year.

Financial Services

- ALPS was once again recognized as the highest rated mutual fund administrator by Global Custodian and achieved 20% overall revenue growth from 2013 to 2014.
- We formalized the Applied Analytics group and introduced 'Predictive Analytics', our first new product.
- Our Asset Management division responded to the challenges that broker/dealers face when selling alternative investment products by developing a new 'Altserve' product that will be officially launched in early 2015.
- Our BPS team completed 300 professional services engagements and launched new releases of AWD, EFS and JumpStart.
- The Brokerage Solutions team added 4 million new positions to our subaccounting system

and created new demand for Advisor tools that will be implemented in 2015.

- The Distribution Solutions group increased revenue by 18% over 2013 and introduced a new Asset Persistency tool to the marketplace to help fund companies measure the profitability of Distribution relationships.
- The Retirement Solutions group continued to win new business and completed several conversions of new clients. In addition, the Retirement Income Calculator (RICC) product has become an industry standard and is now used by many industry leading companies.

Customer Communications

- Our Customer Communications team completed the conversions of major new clients.
- Both Customer Communications North America and United Kingdom achieved some of the highest profit margins in the history of the business.
- We continued to drive operating efficiency through retooling and consolidating physical plants.

Healthcare

- We experienced double digit financial growth in our healthcare business and continue to attract new customers.
- We converted a number of new clients in our Health Solutions business and expanded product capability.
- We worked with clients to implement our Healthcare Exchange solution.

International

- We expanded our Bluedoor Wealth Management solutions into the UK marketplace, which is one of the factors contributing to a 63% growth in that business in 2014.
- Our International business areas won several new contracts with some large customers and also coordinated the sale of our Global Solutions Investment Management business to SS&C.

Enterprise Groups

- The DST Realty group renovated nearly 90,000 square feet of space in our portfolio. At the same time they continued to optimize our use and ownership of our realty assets.
- Our Enterprise Services team delivered the new big data and data analytics platforms in Canada and the US, and supported Risk Management and infrastructure modernization efforts across the enterprise.
- We opened a new 500-seat office in Pune, India to support our growing IT Services business and also earned important industry certification in both India and Thailand.
- The HR team drove our focus on engagement and continued their efforts to establish a high performance culture through the implementation of a global performance management system and delivery of a new DST Wellness program.
- Our Marketing team formalized the approach for supporting a more robust Investor Relations function, reorganized to better align with the business and drove many successful marketing campaigns for groups across the enterprise.
- Our Legal and Finance teams supported the business units with a variety of services.
- Our Ethics and Compliance team continued to lead important training and education activities for associates across the company.

It is impossible to communicate all that you have accomplished during the year. However, I believe the results are evident in our customers' loyalty and their willingness to "do more with us". The results

are also evident in the financials that we report to the marketplace and in the performance of our stock. Most importantly, the results are evident in your level of engagement.

Your commitment to engage, and to help define the High Performance Culture of DST, is the single biggest lever we have as a company. Imagine 13,000 of us all pulling in the same direction, holding ourselves and each other accountable for performance, focusing on the customer and doing it all in a highly ethical “do the right thing” culture. The power of that is overwhelming. This is not a journey with a starting point and a stopping point, rather, it’s the way we will collectively behave and run the company going forward. Part of this journey will be around each of us continuing to learn and “up our game” and part of it will be around attracting the best talent in the industry to join our team.

And with all this, 2014 may be remembered as the year that we dramatically altered the future of our company through ownership and Board changes. In May, we helped the Argyros group sell \$450 million of DST stock to institutional investors and also bought back \$200 million ourselves. Because of you, many of the most recognized asset management firms in the industry were excited to invest in our company, and this change in the makeup of our company’s ownership has put us in charge of our own destiny. This was an important moment in our collective history, and bodes well for the future of DST!

While four individuals have stepped off our Board as part of that transaction, we have attracted two outstanding new Board members. These new members have deep industry experience in Healthcare and Asset Management and will be invaluable as we expand and grow those businesses.

I believe the combination of our people, our solutions and our industry expertise will provide us with continued new opportunities for our business in 2015 and beyond. Because of you, we are well positioned to begin the New Year. I hope you will take a moment to reflect on your personal and professional achievements for 2014 and give yourself a big pat on the back for a job well done! And don’t forget to take some time to celebrate with family and friends this holiday season. I wish you the happiest of holidays. Be safe and have a Happy New Year.

Best regards,



Stephen C. Hooley
Chief Executive Officer and President

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